Havells India LTD.

End-to-End Business Workflow Operation

1. Company overview

Havells India Limited is a Noida-headquartered, publicly listed (NSE: HAVELLS, BSE: 517354) Fast-Moving Electrical Goods (FMEG) manufacturer and one of India's largest power distribution equipment makers. Its roots trace to founder Qimat Rai Gupta's electrical trading business started in 1958 in Delhi's Bhagirath Palace market; the Havells brand itself was acquired in 1971, the company was incorporated as a private limited entity in 1983, and it converted to a public limited company in 1992. It is currently led by Chairman & Managing Director Anil Rai Gupta, the founder's son.

The company operates as a house of brands — Havells, Lloyd, Havells Crabtree, Standard Electricals, REO, and Havells Studio — spanning residential, commercial, and industrial electrical products. It exports to 70+ countries and holds manufacturing operations in India as well as (historically, through the Sylvania acquisition) parts of Europe, Africa, and Latin America.

Attribute	Detail
Founded / Incorporated	1958 (trading) — 1971 (Havells brand acquired) — 1983 (Pvt Ltd) — 1992 (Public Ltd)
Headquarters	QRG Towers, Sector 126, Noida, Uttar Pradesh
Chairman & Managing Director	Anil Rai Gupta
Listing	NSE: HAVELLS | BSE: 517354
Market Capitalisation	≈ ₹81,500 crore (August 2026)
FY26 Revenue (Consolidated)	₹22,527.77 crore
FY26 Net Profit (Consolidated)	₹1,689.25 crore
Manufacturing Plants	15 plants across 8 locations in India (Alwar, Neemrana, Ghiloth – Rajasthan; Baddi – HP; Tumakuru – Karnataka; Sri City – AP; Faridabad – Haryana; Haridwar – Uttarakhand)
In-house Manufacturing	≈ 90% of products manufactured in-house
Distribution Network	≈ 18,000 direct dealers, 2,50,000+ retailers, 1,000+ “Havells Galaxy” exclusive

	showrooms
Workforce	≈ 6,500–8,000 employees, 40–94 branches/representative offices globally
Promoter Holding	≈ 59.4%

2. Products and Business Segment

Segment	FY26 Revenue Share	What It Includes
Cables & Wires	≈ 39%	Flexible and power cables — multicore round cable, flat submersible cable, LAN, CCTV, speaker cable, industrial and domestic wiring.
Lloyd Consumer	≈ 18%	Air conditioners, washing machines, refrigerators, televisions — acquired from Lloyd Electric & Engineering in 2017.
Electrical Consumer Durables (ECD)	≈ 17%	Fans, water heaters, air coolers, personal grooming products, and small home appliances.
Switchgears	≈ 12%	Domestic and industrial circuit protection — MCBs, MCCBs, ACBs, distribution boards, capacitors, EV chargers/EVSE.
Lighting & Fixtures	≈ 7%	Professional and consumer luminaires — LED panels, downlighters, batten lights, Home Art range.
Others	≈ 8%	Industrial motors, solar products, pumps, water purifiers, and the emerging Renewables/BESS business.

Havells serves three broad customer groups:

1. Individual Consumers buying through retail and e-commerce.
2. electricians, contractors, and channel partners who specify and install products.
3. Institutional/project buyers: builders, real-estate developers, infrastructure and industrial projects - who buy in bulk directly through project sales team.

It also runs a nascent B2B contract-manufacturing (EMS) business, producing air conditioners and washing machines for other global brands on a pilot basis, aligned with the “China-plus-one” sourcing shift.

3. Business Workflow

Havell's business workflow runs through five main stages, from sourcing through to after-sales service.

Stage 1: Sourcing and procurement

Copper and aluminium (for cables/wires and motors) are the largest input cost drivers. India is largely import-dependent for many of the specific commodities and components used in cables and wires, so procurement is a strategically important function. Havells' Chief Procurement Officer has publicly discussed supplier development, dual-sourcing, and sustainability training for suppliers as ways to manage this exposure. The company sources both domestically and internationally, and reported price hikes of 5–20% across categories in 2026 to pass through higher copper and aluminium costs.

Stage 2: Manufacturing

Havells makes 90% of its products in-house. It operates 15 plants, each specializing in different products. For example, Alwar focuses on cables since 1996, Baddi on switchgear since 2003, and Sri City on air conditioners and refrigerators. Sahibabad is for switchgear and EV chargers, Tumakuru for cables.
Each plant uses imported Japanese and European machinery. They also have tool rooms and produce plastic and sheet-metal parts. Newer facilities like Sri City use a Manufacturing Execution System (MES).

Havells has over 20,000 SKUs across its plants. It continues to expand capacity. For instance, Alwar increased its cable production by 25%, and a new Ghiloth plant for refrigerators started commercial production in March 2026.

Stage 3: R&D and Product Development

Product development runs through the Centre for Research & Innovation (CRI), which has four R&D centers. Recent launches include IoT-enabled products (EnTrack energy monitoring devices, Novante washing machines), the Kolor refrigerator range, and new switch ranges (Adiva, Magnus). FY27 capex plans include ₽200 crore earmarked specifically for a new R&D center.

Stage 4: Distribution & Sales

Havells runs a multi-tier, largely omni channel go-to market model:

i. Trade/Channel sales — through ≈ 18,000 direct dealers and 2,50,000+ retail outlets, the dominant revenue channel for consumer-facing categories.

ii. Exclusive brand showrooms — 1,000+ “Havells Galaxy” stores serving as direct sale points for both consumer and industrial buyers.

iii. Institutional/project sales — a dedicated team selling directly to builders, contractors, and infrastructure/industrial projects, especially relevant for cables, switchgear, and lighting.

iv. E-commerce — direct online sales through Havells' own site and marketplaces, alongside the traditional channel.

v. Contract manufacturing (EMS) — a smaller, newer B2B motion supplying finished appliances to other global brands.

Stage 5: After sales service

Havells was the first FMEG company in India to offer doorstep service, through its Havels connect initiative, and runs a dedicated customer care operation(CARE 360) with separate helplines for the Havels and Lloyd brands. Lloyd alone operates through 10, 000+ dealers and 485+ service centers for appliance servicing.

4. Financial Performance - Profit & Loss

4.1 Full Year FY 2026 (ended 31st march 2026) - Consolidated

Metric	FY26	FY25	YoY Change
Revenue from Operations	₹22,527.77 crore	₹21,778.06 crore	+3.4%
Profit Before Tax	₹2,209.57 crore	₹1,990.49 crore	+11.0%
Net Profit (PAT)	₹1,689.25 crore	₹1,470.24 crore	+14.9%
Final Dividend Recommended	₹6/share (+ ₹4/share interim already paid)	—	—
Cash & Cash Equivalents (year-end)	₹2,351 crore	—	—

Q4 FY26 alone contributed disproportionately to the year's profit: consolidated PAT for the quarter jumped 39.8–40.6% YoY to ₽723–736 crore, aided materially by a

₽283 crore fair-value gain on the company's ₽600 crore stake in Goldi Solar (acquired in Q1 FY26). Segment performance in FY26 was uneven: Cables grew 20.8% for the full year (to ₽8,677 crore, the single largest segment), driven by power-cable demand tied to India's infrastructure and data-centre capex boom, while Lloyd Consumer revenue fell ≈ 22.9% for the year amid a high base, unseasonable weather, and channel-inventory normalization. Switchgear grew a healthy ≈ 7.9% to ₽2,585.66 crore, while Lighting & Fixtures was roughly flat.

4.2 Q1 FY27 (quarter ended 30 June 2026) — Most Recent Quarter

Metric	Q1 FY27	Q1 FY26	YoY Change
Revenue from Operations (Consolidated)	₹6,518.19 crore	₹5,455.35 crore	+19.5%
Total Income (Consolidated)	₹6,572.35 crore	₹5,524.53 crore	+19.0%
EBITDA (excl. Other Income)	₹466.16 crore	—	−9.6% YoY, −37.3% QoQ
EBITDA Margin	7.15%	9.45%	−230 bps
Net Profit (PAT, Consolidated)	₹289.71 crore	₹347.53 crore	−16.6%
Advertising & Sales Promotion Spend	₹286 crore for the quarter	—	elevated, front-loaded

Segment-wise Q1 FY27 revenue: : Cables Rs.2,455.62 crore, Lloyd Consumer Rs.1,459.62 crore, Electrical Consumer Durables Rs.1,113.07 crore, Switch-gears Rs.607.68 crore, Lighting & Fixtures Rs.390.27 crore, Renewables & Others ₽314.34 crore. Revenue growth was strong and broad-based, but profit fell because of two pressures hitting simultaneously:

a. Higher raw material cost = management specifically cited copper and aluminium price inflation linked to the West Asia conflict.
b. A deliberate, front-loaded increase in advertising spend (full-year FY26 ad spend was Rs. 600 crores. Management expects the ratio to normalize to 2.7-2.8% of revenue as the year progresses). To offset input costs, Havells implemented price hikes of 7-8% (with select categories higher) during the quarter.

5. Profit & Loss

5.1 Profit Drivers

I. Cables & Wires is the clear engine of growth: nearly 39% of revenue and the fastest-growing segment, riding India's infrastructure capex cycle (power transmission, data centers, real estate).

II. A debt-free (or near debt-free) balance sheet with a healthy dividend payout (approximately 41.4%), giving the company flexibility to fund capex from internal accruals rather than debt.

III. Diversification across six segments and multiple brands cushions the impact when any single category (like Lloyd) under performs.

IV. Strong distribution moat — the scale of the dealer/retailer network (built over decades) is difficult for smaller or newer competitors to replicate quickly.

V. Strategic bets on new growth areas, the Goldi Solar stake and a new partnership with Norway's Pixii AS for battery energy storage systems (BESS) position Havells for the energy-transition/renewables opportunity.

5.2 Loss/Margin Pressure Drivers

a. Commodity cost volatility, copper and aluminium prices (worsened by the West Asia conflict in 2026) directly compress margins faster than price hikes can offset them.
b. Lloyd Consumer's prolonged weakness, the segment posted an EBIT loss for four consecutive quarters through early 2026 per analyst commentary, and remains a drag on consolidated profitability.
c. Elevated, front-loaded advertising and promotion spend in FY27 to defend market share, directly compressing near-term EBITDA margin (down 230 bps YoY in Q1 FY27).
d. Reliance on one-off/investment gains to flatter headline profit, a meaningful part of FY26's profit growth (particularly Q4) came from the Goldi Solar fair-value gain rather than core operations. adjusted PAT excluding that gain was reported down approximately 6.7% YoY for the quarter by some analysts.
e. Intensifying competition = Polycab has overtaken Havells in market capitalisation and posted stronger cable-segment growth; Crompton, Bajaj Electricals, KEI Industries, RR Kabel, and Finolex Cables all compete directly across one or more of Havells' segments, limiting pricing power.
f. Regulatory/compliance overhang — the company has faced scrutiny from the Directorate of Revenue Intelligence (DRI) over alleged import misclassification following a 2023 search at its corporate office.
g. Premium valuation risk — Havells trades at a materially higher P/E (roughly 45–60x trailing) than peers like Crompton (≈30–35x) or Polycab (≈40–55x), which raises the bar for continued out performance and makes the stock sensitive to any earnings

disappointment.

6. Pros & Cons - Business level summary

Pros (Strengths)	Cons (Weaknesses / Risks)
Market-leading, diversified FMEG player with 6 segments and multiple brands	High dependence on volatile copper/aluminium prices for margins
≈90% in-house manufacturing gives quality and supply-chain control	Lloyd Consumer segment has been a persistent margin drag for several quarters
Extensive, hard-to-replicate distribution network (18,000+ dealers, 2.5 lakh+ retailers)	Intensifying competition (Polycab, Crompton, Bajaj Electricals, KEI, RR Kabel) pressuring pricing power
Debt-free/near debt-free balance sheet with healthy dividend history	Elevated advertising spend in the near term compresses margins
Strong brand equity and first-mover doorstep-service model (Havells Connect)	Premium stock valuation vs. peers raises expectations and downside risk on any miss
Active diversification into renewables/BESS (Goldi Solar, Pixii AS partnership) and EMS/contract manufacturing	Regulatory scrutiny (DRI import-classification matter) is an ongoing overhang
Continued capacity investment (₹1,400 crore FY27 capex, incl. ₹800 crore for cables) signals confidence in demand	Part of recent profit growth came from investment/fair-value gains rather than core operations

7. Competitive Landscape

a. Havells does not compete against a single rival across its whole portfolio. Competition is segment-specific:
b. Cables & Wires = Polycab India (market leader by cable revenue and now by market cap), KEI Industries, RR Kabel, Finolex Cables.
c. Consumer Durables / Fans / Appliances = Crompton Greaves Consumer Electricals, Bajaj Electricals, V-Guard Industries, Orient Electric
d. Lighting = Signify, Syska LED, Surya Roshni, Crompton, Wipro Lighting, Bajaj Electricals.
e. Air Conditioners (Lloyd brand) = Voltas, Blue Star, LG, Daikin, Panasonic, and other white-goods majors.

As of mid-2026, Polycab India has overtaken Havells in market capitalisation, reflecting stronger recent cable-segment execution and growth, while Havells' broader diversification is viewed as both a strength (less category concentration) and a drag (Lloyd underperformance dilutes group-level margins).

8. Needs, Opportunities, and Forward look

8.1 What the business needs right now?

Margin recovery in Lloyd = management has guided that Lloyd's channel inventory is expected to normalize by around April 2026, but sustained EBIT-positive performance is still awaited.

Passing through commodity cost inflation without hurting volumes = the balance between price hikes (7–20% announced across categories in 2026) and maintaining demand is the central operating challenge for FY27.

Normalizing advertising spend back to the long-term range (≈2.7–2.8% of revenue) without losing the market-share gains the higher spend was meant to defend.

Converting new bets (renewables/BESS, EMS contract manufacturing, R&D investment) into meaningful revenue contributors over the next few years.

8.2 Growth Opportunities

India's infrastructure and data-centre capex cycle is continuing to drive power-cable demand.

Renewables and energy storage (solar via Goldi Solar stake, BESS via the Pixii AS partnership) as a new, structurally growing category.

Export and EMS/contract manufacturing growth, leveraging the "China-plus-one" sourcing shift among global appliance brands.

Premiumization and IoT-enabled product lines (EnTrack, Novante, smart switches) to improve realization per unit.

9. Conclusion

Havells India is a large, well-diversified, largely self-manufactured FMEG business with a genuinely difficult-to-replicate distribution network, the kind of asset that takes decades, not years, to build. Its FY26/Q1 FY27 numbers tell a two-sided story: revenue growth is healthy and broad-based, led decisively by Cables & Wires riding India's infrastructure boom, but profit growth has been uneven and partly flattered by one-off investment gains, while core operating margins are under real pressure from commodity costs, an underperforming Lloyd segment, and elevated brand-defence spending. For a CRM or sales-process study, the useful takeaway is structural: Havells runs two fundamentally different sales motions: high-volume, low-touch channel sales through its massive dealer/retailer network, and low-volume, high-touch institutional/project sales to builders and infrastructure players, and its near-term financial performance is a reminder that even a company with this scale of distribution reach is not insulated from raw-material volatility and rising competitive intensity.

Note on data currency: All financial figures in this document are sourced from Havells' own regulatory filings, investor presentations, and reputable financial-news coverage current through the Q1 FY27 results announced on 17 July 2026 (the most recent quarter available as of this document's preparation in August 2026). Figures for Q2 FY27 onward were not yet available at the time of writing.